

the tokens is compatible and on the same blockchain network. So, anyone buying an NFT from one platform can resell it on another platform by connecting their wallet and having the smart contract listed in that platform. Cross-chain compatibility (cross-chain bridge) has recently been established across a few chains for NFTs but has also been a source of vulnerabilities and hacks,” says Menon.

With the advent of currencies and assets, gaming platforms are coming under the influence of market forces much to the displeasure of traditional game developers. According to the Game Developer’s Conference 2022 Annual Report, 70% of the developers surveyed said their studios were not interested in integrating NFTs or cryptocurrencies in their games.

Nascent real-world applications

NFTs have the potential to transform several real-world processes. Experiments are underway but it will probably take time to become mainstream, because of the high costs and energy-related issues surrounding NFT usage. Nevertheless, let us take a look at some of the most promising applications:

IDs, certificates, and other documents. NFTs being immutable can result in accurate record-keeping with no risk of tampering. An NFT birth certificate can serve as a lifelong ID on the blockchain. Other medical records can be appended to the same, with complete trust and confidentiality. Some graduate schools like Emlyon in France are planning to issue NFT based diploma certificates to avoid certificate related frauds. Going forward, other important documents like passports, driving licenses, and other documents can also be encoded in the blockchain. This would help iron out kinks in several administrative processes ranging from public distribution to voting.

Real estate. In the real world, NFTs could be an efficient way to check titles and verify ownership history. Timestamped NFTs are a good way to track changes in property value. Smart

To buy or not to buy

To buy or not to buy an NFT is a difficult decision because there is no thumb rule. At present it is highly speculative, and hence a very personal choice. The price of an NFT is entirely demand-driven and depends on how badly people want to buy it. A promising NFT might just fizzle out, or a seemingly dumb one might end up as a cash cow just because it caught someone’s fancy! You buy an NFT hoping someone will want to buy it for a greater price in the secondary market—something that you have no control over. So, here are a few tips from experts on how to buy NFTs:

- Since it is a new trend with not much historic data, invest a small amount initially and see how it goes.
- Buy only what you can afford to lose.
- Make sure it offers some value to you—either emotional satisfaction or physical utility. You can buy it if you like the art or the artist, or believe in the cause behind it. You can buy it if it is something you really wish to own—a collectible close to your heart. That way, you do not feel the loss even if it does not sell in the secondary market!
- Do not buy NFTs just for the fear of losing out, or because you were invited to a drop.
- If you cannot get proper information about the art and the artist, avoid putting money in it.
- Look out for the good NFTs from social media, NFT marketplaces, and NFT drop calendars.

Do your due diligence each and every time, because no two NFTs are the same—remember they are non-fungible. “As not all stocks are same, so is the case for NFTs as well, and it is dangerous to bucket them all under one umbrella when thinking about investments. Just like we do research on which stocks or even property offers the potential of appreciation, we should be looking at individual NFTs in the same light. Each project has been created with different set of utility surrounding it, being just for the artistic nature, access to some kind of associated utility, or even managing loyalty programs with multitude of variations,” explains Menon.

contracts can be used to simplify and speed up transactions. It becomes possible to create decentralised home rental services with auto payments facilities, while taking care to protect sensitive information. In February 2022, the sale of a physical house in Tampa Bay, USA, was executed using NFTs, for a value of 210 Ether, approximately \$653,000!

IP and patents. If IP is minted with a timestamped token, its current ownership and history can be easily verified and proved. Patent wars would be so easy to sort out! Sometimes, an inventor develops certain innovative IP along the way as a means to the whole. If the attempt is successful, he or she might file for a patent. If, unfortunately, the final result is not as expected, the creator can at least tokenise the successful components developed along the way and make them available to the community. These IP NFTs can also be monetised. Some researchers are considering self-publishing their work as NFTs so that their work can quickly reach the world, without the delay that is inherent in the patenting process.

Supply chain and logistics. NFTs can be used to authenticate products, verify their origin, and ensure quality. NFT based supply

chain data cannot be tampered, and helps avoid counterfeiting in food, medicine, and high-value luxury products. In eco-sensitive industries, it can be used to track and trace recyclable and sustainable materials and ensure their proper recycling or reuse. Carrefour Supermarket uses NFTs to guarantee secure and unfalsifiable traceability of products. The Ownest platform also enables you to track ownership on supply chains using NFTs.

Industrial design and manufacturing. By tokenising the CAD data or files, manufacturers can ensure that their designs are not tampered or copied by contract manufacturers. File management and revisions can also be handled efficiently. Using NFTs, a manufacturer can track and trace components to ensure authenticity, and at each stage include information about the manufacturing process for the benefit of the next player in the workflow. NFT.SMARTMFG.IO from blockchain company Smart MFG Tech is a comprehensive tokenisation and marketplace solution for the creation, storage, sale, and transfer of industrial design assets as NFTs. It allows users to create and list unique NFTs, participate in auctions and commission custom-made industrial design and 3D models.